

Revenue CAGR

21.9%

5-year

PAT CAGR

23.4%

5-year

ROE

17.5%

latest year

ROCE

3.2%

latest year

Debt-to-Equity

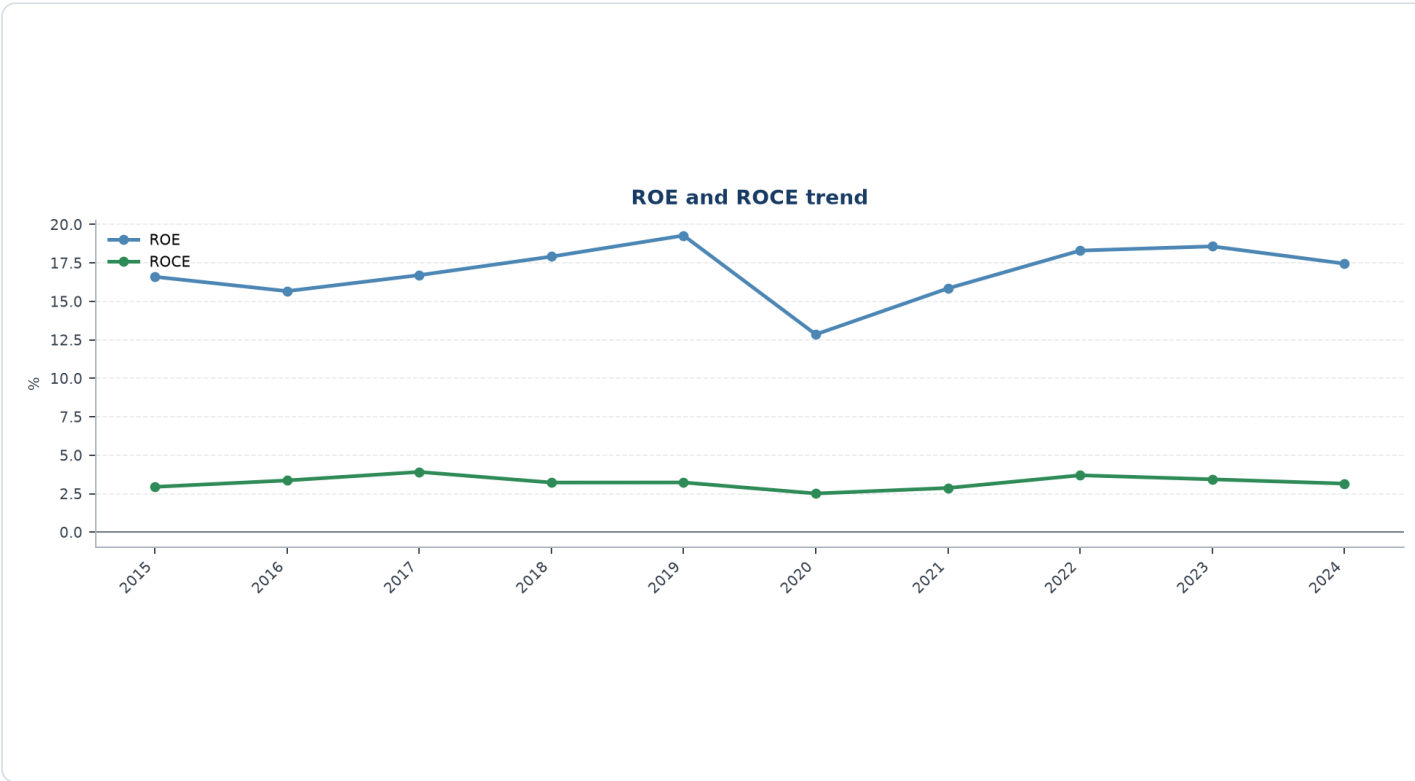
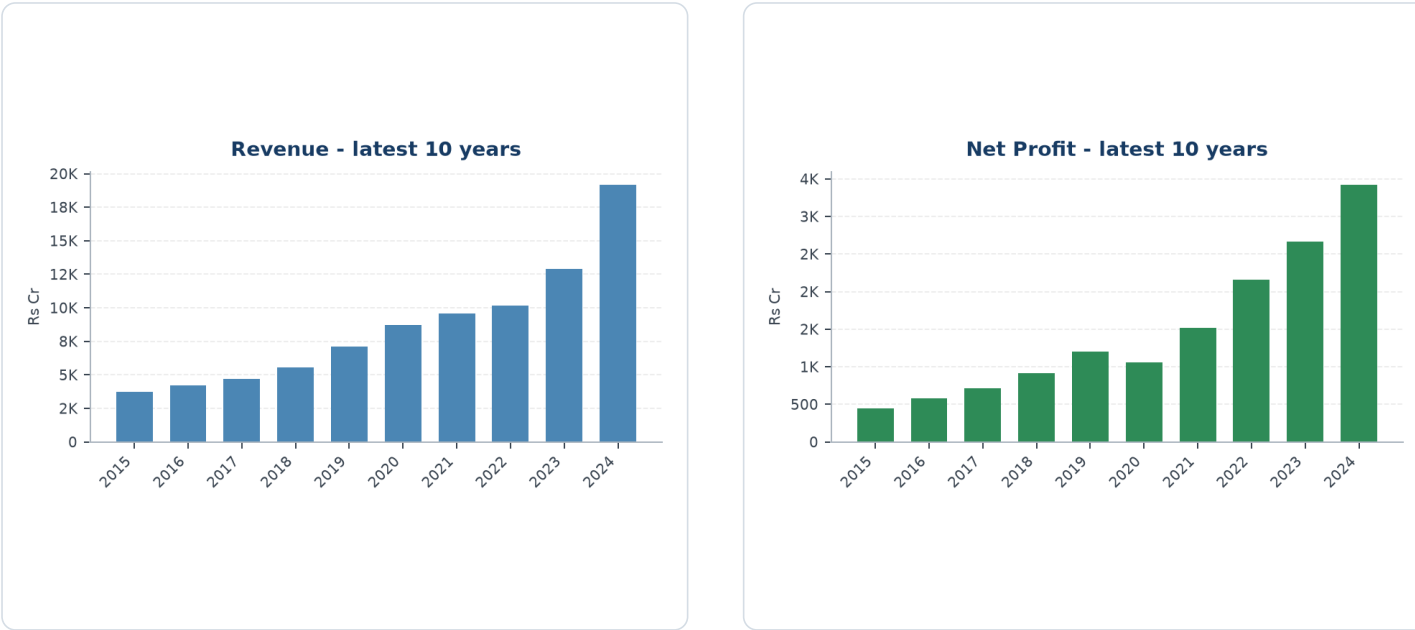
6.86x

latest year

CFO Quality

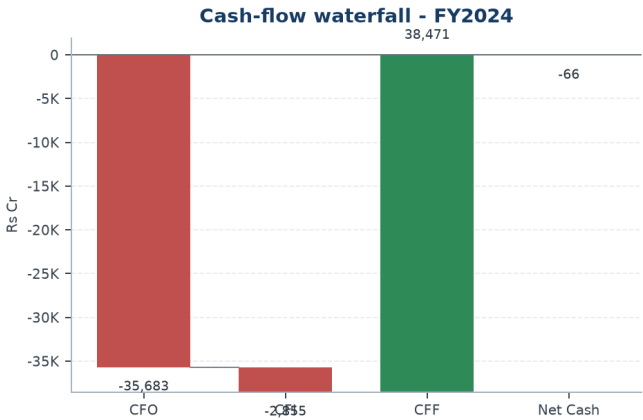
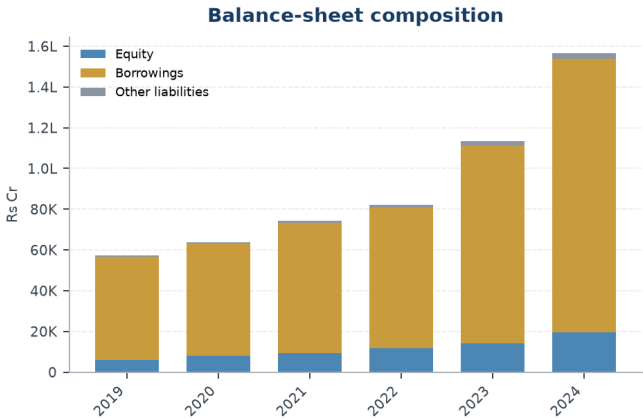
Accrual Risk

5Y score -6.20x



LATEST CAPITAL-ALLOCATION PATTERN

Growth Funded by Debt



Pros

- 1. Very high interest coverage ratio reflects negligible financial stress from debt servicing (84% confidence)
- 2. Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (83% confidence)
- 3. Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (82% confidence)
- 4. Operating profit margin above 25% indicates strong pricing power and cost discipline (77% confidence)
- 5. Net profit compounding at above 20% over 5 years creates significant shareholder value (76% confidence)

Cons

- 1. Free cash flow negative for 3 consecutive years raises concern about cash generation quality (100% confidence)
- 2. Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (87% confidence)
- 3. Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (86% confidence)
- 4. Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (78% confidence)
- 5. Operating margins declining for 3 consecutive years suggest pricing or cost pressure (75% confidence)